IN THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH AT NEW DELHI

(CAA) - 38 (PB)/ 2021

CONNECTED WITH

CA (CAA)- 45 (PB)/ 2020

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies, (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

IN THE MATTER OF COMPOSITE SCHEME OF ARRANGEMENT

BETWEEN

VAIBHAV FARMS PRIVATE LIMITED

... Transferor Company 1 / Petitioner Company 1

INDO CREDIOP PRIVATE LIMITED

... Transferor Company 2 / Petitioner Company 2

ITALINDIAN TRADE AND FINANCIAL

SERVICES PRIVATE LIMITED

... Transferor Company 3 / Petitioner Company 3

MOONLIGHT EQUITY PRIVATE LIMITED

... Transferee Company/ Petitioner Company 4

AND

THEIR RESPECTIVE SHAREHOLDERS & CREDITORS

Order Pronounced On: 25.08.2021

CORAM:

SH. BHASKARA PANTULA MOHAN

HON'BLE ACTG. PRESIDENT

SH. HEMANT KUMAR SARANGI

HON'BLE MEMBER (TECHNICAL)

For the Petitioners: Mr. Satwinder Singh and Mr. Manoj Bansal, Advs.

For I.T. Dept. : Mr. Sunil Agarwal, Sr. Standing Counsel with
Mr. Tushar Gupta, Jr. Standing Counsel

For the RD & OL : Ms.Shankari Mishra & Ms. Hemlata Rawat,
Advocates

ORDER

PER- HEMANT KUMAR SARANGI, MEMBER (TECHNICAL)

1. Under consideration is Company Petition (CAA)- 38 (PB)/2021 filed under Sections 230 to 232 of the Companies Act, 2013 ("**The Act**"), read with the Companies (Compromises, Arrangements & Amalgamations) Rules, 2016. The purpose of the Company Petition is to obtain sanction of the Composite Scheme of Amalgamation (in short, "**The Scheme**") of M/s. Vaibhav Farms Private Limited (hereinafter referred to as (Petitioner-1/ Transferor Company-1), M/s. Indo Crediop Private Limited (Petitioner-2/ Transferor-2), M/s. Italindian Trade and Financial Services Private Limited (Petitioner-3/

Transferor Company-3) with M/s. Moonlight Equity Private Limited (Petitioner-4/Transferee Company).

2. The Transferor Company No. 1, Transferor Company No. 2, Transferor Company No. 3 and the Transferee Company (hereinafter may be referred to as "the Companies" / "the Applicant Companies"), were incorporated under the Companies Act, 1956 and the Authorized, Subscribed and Paid-up Share Capital of the Companies as per the last Audited Balance Sheet as on 31.03.2020 is as under:

Name of the Company	Authorised Share Capital	Issued, Subscribed and Paid-up
Vaibhav Farms Private Limited	Rs.10,00,000	Rs.8,76,000
Indo Crediop Private Limited	Rs.45,500,000	Rs.3,26,80,160
Italindian Trade and Financial Services Private Limited	Rs.1,37,00,000	Rs.1,34,12,230
Moonlight Equity Private Limited	Rs.25,00,00,000	Rs.5,93,41,650

3. The rationale for the proposed Scheme as stated therein is;

   a. *"This Scheme envisages amalgamation of Transferor Companies with and into Transferee Company resulting in consolidation of business thereby strengthening position of Transferee Company. It is intended that the Transferee Company shall have sharper focus on all businesses with an aim of achieving operational efficiencies, stronger financials and growth prospects for the people and organization connected therewith. Accordingly, consolidation of businesses of the Transferor Companies would be in the best interests as well as their representative shareholders and other stakeholders."*

   b. *"The proposed Amalgamation is also aimed at optimum and efficient utilization of capital, assets and facilities, reduction of overheads, administrative, managerial and other expenditure and bring about operational rationalization, efficiency and optimum utilization of various resources."*

   c. *"The proposed consolidation of Transferor Companies with and into Transferee Company is aimed at maximizing shareholder value and to achieve higher long-term financial returns by Transferee Company."*

4. This Tribunal, vide its order dated 19.06.2020, read with modified order dated 04.11.2020, (hereinafter referred to as

"Orders") in Company Application No. (CAA) 45(PB)/ 2020, directed separate meetings to be held of the Equity Shareholders, secured and Unsecured Creditors of the Transferor Company and the Transferee Company. The meetings of Equity Shareholders and Unsecured Creditors of each of the Applicant Company were duly convened, in accordance with the directions contained in NCLT order.

5. Mr. Hardev Singh, the chairperson, reported the result of each of the meetings and he executed the Report dated 17.12.2020, for each meeting of the respective company. The said reports were duly submitted to the Hon'ble NCLT through E-Filing No.: 071010202649 2020 dated 18.12.2020. It has been stated that all the stakeholders attended the respective meeting in person. The said compromise or arrangement was read and explained by the Chairperson to the meeting, in all the meetings cited above and the resolution was passed unanimously.

6. This Tribunal had further directed the Petitioner Companies to issue notices to the statutory authorities and the notices were accordingly issued. The Petitioner Companies have complied with all directions passed in the above order of this Tribunal.

7. The Regional Director, Northern Region, has filed a report/representation dated 28.07.2021 ("**Report**"), along with

the report of the Registrar of Companies, Delhi; The Regional Director has made the following observations in the report/representation:

"11. On examination of the Scheme and the reply submitted by the Petitioner Companies, the observations of the Deponent are as under::

From the contention of the scheme enclosed with the petition it is stated that the Transferor Company-1 and the Transferor Company-2 are subsidiary of the Transferee Company and also the Transferor Company-3 holds investments in the shares of the Transferor Company-2 and with the shares of the Transferee Company. On examination of the scheme and perusal of the reply from the petitioner companies along with report of ROC in this regard, it appears that the scheme doesn't violate any provisions of section 230-232 of the Companies Act, 2013. In view of the above it is prayed before the Hon'ble Tribunal to decide the matter on its merit and to pass order as deemed fit and proper in this matter."

8. The Official Liquidator has filed a report/representation dated 01.07.2021 ("**Report**"), in its report, the Official Liquidator has made certain observations in the report/representation:

"17. That the Official Liquidator has not received any complaint against the proposed Scheme of Amalgamation

from any person/party interested in the Scheme in any manner till the date of filing of this Report."

"20. That the official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/ the Companies Act, 2013 whichever is applicable."

9. The Income Tax department has filed a report/representation dated 28.07.2021 ("**Report**"), in its report the Income Tax department has made certain observations in the report/representation:

"2. It is submitted that there is an outstanding Income-tax demand of Rs. 1,330/- in the case of Indo Crediop Pvt. Ltd., and an outstanding Income-tax demand of Rs. 5,973/- in the case of Italiandian Trade & Services Pvt. Ltd., which are transferor company 1 and 2 to the proposed amalgamation scheme. Thus, this Hon'ble Court may direct the Petitioners/ Applicants to ensure that the said outstanding demands are paid."

"3. It is further submitted that re-assessment proceedings u/s. 147 of the Act are pending in the case of:

(i) Indo Crediop Pvt. Ltd. (Transferor Company No. 2) for Assessment Year(s) 2014-15 & 2015-16; and

(ii) Moonlight Equity Pvt. Ltd. (Transferee Company) for Assessment Year 2015-16."

"4. In view of the facts as narrated above and the Reports of the Assessing Officers (annexed herewith), it is humbly submitted that the Department has no objection to the sanction of the Amalgamation Scheme proposed by the Petitioners/ Applicants. However, such a sanction shall not prejudice any rights of the Income-tax Department as available under the Income Tax Act, 1961 in view of Hon'ble Supreme Court judgement of Department of Income Tax v. Vodafone Essar Gujarat Ltd. [(2015) 16 SCC 629]."

10. The Ld. Advocate for the petitioner companies, Mr. Satwinder Singh, has filed an affidavit dated 28.07.2021, wherein it has been stated that:

"4. This is to confirm that after publication of the final notice of hearing in the aforesaid newspaper neither we nor the Petitioner Companies have received any objections to the said Scheme."

11. The Certificates of the respective statutory auditors of the Petitioner Companies have been placed on record to the effect that the accounting treatment provided for in the Scheme, is in

conformity with applicable accounting standards notified under Section 133 of the Companies Act, 2013.

12. In view of the foregoing, there appears to be no impediment in sanctioning the Scheme, which appears to be fair and reasonable and not contrary to public policy or violative of any provisions of law. All the statutory requirements of Sections 230-232 of the Act appear to have been complied with. Taking into consideration the above facts, the Company Petition is hereby allowed and the Scheme annexed with the Petition is hereby sanctioned.

13. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement, which may be specifically required under any law. Further, the Petitioner Companies shall be bound to comply with the statutory requirements in accordance with law.

14. The Petitioner Companies shall be at liberty to apply to this Tribunal for any directions that may be necessary in the above matter.

15. Accordingly, the **Scheme stands sanctioned** and (CAA)-38(PB)/2021 stands disposed of.

Let a copy of the order be served to the parties.

-SD-

(BHASKARA PANTULA MOHAN)
ACTG. PRESIDENT

-SD-

(HEMANT KUMAR SARANGI)
MEMBER (TECHNICAL)

25.08.2021